

LIBERTY CYBER THREAT INTELLIGENCE

THE ALAMO THREAT BRIEF™

OPEN SOURCE INTELLIGENCE

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| DOMINANT JUDGMENT | WARNING BECAME EVENT |

*Executive decision intelligence for Texas critical infrastructure.*

**Executive Warning:** Between 27 and 30 July, malicious cyber actors gained unauthorized control of internet-facing programmable logic controllers at water and wastewater utilities in at least seven states — more than 30 confirmed in Minnesota alone — and the FBI and EPA confirmed the operational effects included loss of pressure and flooding, not merely unauthorized access. This is the multi-victim, multi-state event Liberty CTI flagged as the plausible next step after April’s and July’s federal advisories on Iranian-affiliated PLC targeting: the capability described in those warnings has now produced confirmed physical consequences at civilian utilities. Water and municipal operations carry the direct exposure; energy, healthcare, and the defense industrial base carry it indirectly, through shared OT vendors and the same internet-exposed remote-access pattern. Federal officials have not formally attributed the campaign, and no Texas utility has been named in current reporting — leadership should not wait for either fact to change. The decision risk this week is narrow: can your organization prove, today, that its PLCs are not internet-facing, and that it can sustain operations manually if automated control is lost.

**Board Implications This Week — Ask**

Do we know, with certainty, that no PLC, HMI, or SCADA gateway supporting our operations or a dependency (water, wastewater, cooling, treatment) is directly internet-facing?

**Board Implications This Week — Direct**

Require an OT internet-exposure inventory this week, not this quarter. Rockwell/Allen-Bradley MicroLogix 1100 and 1400 series are the confirmed device class; treat other branded PLCs with equal urgency.

**Board Implications This Week — Document**

Name, in writing, the executive authorized to isolate OT and invoke manual operations without waiting for board approval. The confirmed events show this decision cannot wait for a scheduled meeting.

**Board Implications This Week — Rehearse**

Validate the maximum safe duration your organization can run manually if automated control is lost. If no one can answer that number, that is this week’s finding.

## CENTERPIECE ANALYSIS

The dominant call this week is that U.S. water-sector cyber risk has moved from documented warning to demonstrated operational effect. **Confirmed fact**, per the FBI and EPA's joint Public Service Announcement (I-073026-PSA, 30 July): since 27 July, water and wastewater utilities in at least seven states have reported incidents involving internet-facing Rockwell Automation/Allen-Bradley MicroLogix 1100 and 1400 series controllers; actors changed device IP addresses and passwords, locking out operators; and reported effects included loss of pressure and flooding. In Minnesota, more than 30 community water systems were affected, with at least one community temporarily drawing on stored water after losing automated well and treatment control.

**Assessment, moderate confidence:** Iranian affiliation is the leading hypothesis — consistent with the target set, technique, and vendor overlap described in the CISA/FBI/NSA/EPA/DOE/Cyber Command advisory updated 22 July — but it is not confirmed. CISA's acting director stated the agency is observing **a significant increase** in threat actors targeting PLCs in the water sector; neither CISA nor the FBI has assigned formal responsibility to a specific state or group as of this issue.

**Bottom line:** the exposed devices, weak remote-access architecture, and reliance on manual fallback that made this event survivable in Minnesota are common, not unique, to Minnesota. If your organization operates or depends on water, wastewater, or similarly configured OT, the question this week is not whether you are a confirmed target. It is whether you can prove you are not exposed the same way.

Section I

## What Changed This Week

### Multi-State Water-Sector OT Disruption Confirmed — FBI/EPA Public Service Announcement, 30 July

The FBI and EPA's **Public Service Announcement I-073026-PSA** is the first primary-source confirmation that this campaign produced physical consequences, not just unauthorized access. Since 27 July, water and wastewater utilities in at least seven states have reported incidents to the FBI; some activity degraded water operations. The PSA states plainly that pressure loss in water systems could allow untreated ground water to seep into pipes — a direct public-health mechanism, not an abstract IT risk. Minnesota state officials report no confirmed compromise of water quality to date.

### CISA Companion Alert Names the Target Set

CISA's same-day alert confirms the device class — **Rockwell Automation/Allen-Bradley MicroLogix 1100 and 1400 series PLCs** — and states the agency is observing a significant increase in actors targeting PLCs across the Water and Wastewater Systems sector. CISA's central directive: remove exposed PLCs and other OT from the internet immediately. This is consistent with, and escalates, the manufacturer-scope expansion (Rockwell, Siemens, Schneider Electric) in the 22 July update to advisory AA26-097A.

### Texas Grid Operators Seek Expanded Authority Over Data-Center Interconnection

Separately, ERCOT and the Public Utility Commission of Texas are asking state lawmakers to expand their authority to regulate data-center interconnection, following a directive from Governor Abbott. This is not a cyber event, but it is the governance mechanism that would determine who can force large interruptible loads off the grid during a cyber-triggered emergency — directly relevant to the cascading-risk exposure this week's water-sector event illustrates.

## Defense Contractor Compliance Window Opens — CMMC Reform Task Force RFI

The Department of War's Request for Information on CMMC reform remains open, with industry comments due **14 August 2026**. CMMC Phase II third-party assessment remains suspended, but Phase I self-assessment and DFARS 252.204-7012 cyber incident-reporting obligations are unchanged. San Antonio-area DIB contractors should treat this as a live compliance-relief window, not a signal to slow security investment.

### Section II

## Key Judgments

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### KJ-1

Liberty CTI assesses, at **high confidence**, that U.S. water-sector cyber risk moved this week from documented warning to demonstrated operational effect. **HIGH CONFIDENCE**

*Source basis / uncertainty: Source basis: FBI/EPA Public Service Announcement I-073026-PSA (30 Jul 2026); CISA companion alert (30 Jul 2026). Reporting describes confirmed operational consequences — loss of pressure, flooding, loss of automated control — not merely scanning or attempted access. Primary uncertainty: total affected-system count and full technical scope may change as investigation continues.*

**Decision implication:** Decision Implication: Treat any internet-facing PLC, HMI, or SCADA gateway in water, wastewater, or dependent OT as an active exposure requiring remediation this week, not this quarter.

### KJ-2

Liberty CTI assesses, at **moderate confidence**, that Iranian-affiliated actors are the leading hypothesis for this campaign, consistent with the capability and target set described in advisory AA26-097A. **MODERATE CONFIDENCE**

*Source basis / uncertainty: Source basis: CISA/FBI/NSA/EPA/DOE/US Cyber Command advisory AA26-097A (updated 22 Jul 2026), describing Iranian-affiliated targeting of the same PLC vendor families. Primary uncertainty: neither CISA nor the FBI has issued a formal, specific attribution for the Minnesota or multi-state incidents as of this issue. Attribution remains an assessment, not an established fact.*

**Decision implication:** Decision Implication: Communicate this to boards and regulators as assessed likely origin, not confirmed attribution. Overstating certainty here is a credibility risk if attribution shifts.

### KJ-3

Liberty CTI assesses, at **high confidence**, that the principal board-level risk in this event is decision latency, not the initial compromise. **HIGH CONFIDENCE**

*Source basis / uncertainty: Source basis: FBI/EPA PSA noting recovery depended on the ability to switch to manual operations; EPA's 2026 national cyber drill program separately emphasizes operating water systems when SCADA, remote access, and cloud services are unavailable. Primary uncertainty: none material — this judgment is a governance inference, not a technical claim.*

**Decision implication:** Decision Implication: Confirm, in writing, who is authorized to isolate OT, invoke manual operations, and accept service degradation without waiting for a scheduled leadership meeting.

### Section III

## Geopolitical Driver

The strategic backdrop remains Iranian OT targeting tied to retaliation capacity amid continued U.S.-Iran friction, layered onto a persistent baseline of PRC pre-positioning and DPRK revenue-generation activity against U.S. critical infrastructure. What changed this week is not the strategic driver — it is the demonstrated willingness and ability to convert that driver into public-facing operational disruption at small, under-resourced utilities, which are disproportionately common across Texas as well as Minnesota.

**CRITICAL INTELLIGENCE WARNING**

**Continuum assessment:** Late-stage Competition with **acute** Crisis-conditioning indicators. No transition to Conflict is assessed. The upgrade from last week’s “elevated” posture reflects confirmed operational effect, not a change in the underlying geopolitical driver.

Section IV

## Why This Matters to Texas

No Texas utility has been named in this reporting. That is not the same as Texas being unexposed. The confirmed device class — internet-facing Rockwell/Allen-Bradley PLCs — and the confirmed technique — changing device passwords and IP addresses to lock out operators — do not require a sophisticated or well-resourced target. Texas has hundreds of small municipal water and wastewater systems with the same vendor concentration and the same remote-access shortcuts. The board-level risk is not a single cyber event; it is the cascade that follows when a small utility loses automated control and the surrounding hospitals, businesses, and emergency services discover their continuity plans assumed water would still be available.

## Cross-Sector Cascade Assessment

|                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|-----------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Energy ERCOT /<br>OT / Grid                         | <p><b>What changed:</b> The confirmed water-sector campaign demonstrates the same PLC exposure pattern present across Texas energy OT; ERCOT and PUCT are separately seeking expanded authority over data-center interconnection following a directive from Governor Abbott. <b>Why it matters locally:</b> Texas energy and water operators frequently share the identical Rockwell/Allen-Bradley install base and remote-access shortcuts implicated nationally, and both draw on the same grid capacity data centers are competing for. <b>Cascade risk:</b> Water disruption affects cooling and processing at energy facilities within hours; energy disruption affects water treatment and pumping in the same window.</p> |
| Financial<br>Payments /<br>Recovery /<br>Compliance | <p><b>What changed:</b> No direct targeting of financial institutions confirmed this week. <b>Why it matters locally:</b> A confirmed multi-state critical-infrastructure event raises municipal-bond, business-interruption, and cyber-insurance underwriting questions even for insurers and lenders with no direct exposure to the affected utilities. <b>Cascade risk:</b> Financial-sector claims and disclosure obligations extend the visible impact of this event well beyond the utilities themselves.</p>                                                                                                                                                                                                              |

**Healthcare / DIB**  
**Patient Safety /**  
**Supply Chain**

**Healthcare:** Hospitals depend on municipal water for sanitation, sterilization, and cooling — a multi-state water disruption is a downstream continuity risk even for facilities never directly targeted. Separately, health IT vendor Unlimited Systems continued breach notifications this week affecting patients in Texas and three other states, underscoring vendor-concentration exposure. **DIB:** The CMMC Reform Task Force RFI (comments due 14 Aug) is a live compliance-relief window; Phase I self-assessment and DFARS 252.204-7012 obligations are unchanged. **Cascade risk:** Healthcare degradation creates immediate safety pressure; DIB degradation creates contract-performance and national-security pressure.

Section V

## Indicators & Warnings — PIR Watch, 1 to 4 Weeks

**PIR 1 / I&W 1 Texas-named water, wastewater, or dependent-OT incident** [**↑ Rising**]

- Watch for state or federal disclosure naming a Texas utility, municipality, or dependent facility in connection with this campaign.
- Would end the current “not yet named” status and materially change the Flash Warning calculus.
- Tied to: PIR 1, nation-state targeting of Texas critical infrastructure.

**PIR 7 / I&W 2 Formal U.S. government attribution statement** [**→ Sustained**]

- Watch for CISA, FBI, or ODNI formally naming Iran or another state actor as responsible for the water-sector campaign.
- Would move KJ-2 from Moderate to High confidence and change how the event should be characterized to clients and regulators.
- Tied to: PIR 7, geopolitical-cyber acceleration.

**PIR 2 / I&W 3 Campaign expansion beyond seven states or beyond Rockwell/Allen-Bradley PLCs** [**↑ Rising**]

- Watch for updated FBI/CISA/EPA guidance naming additional states, additional PLC vendors, or additional sectors beyond water and wastewater.
- Would confirm the campaign is broadening rather than contained to the initial wave.
- Tied to: PIR 2, cross-sector cascading risk.

**PIR 5 / I&W 4 CMMC Reform Task Force interim guidance or RFI outcome** [**→ Sustained**]

- Watch for DoW guidance or task-force output around or after the 14 August RFI comment deadline.
- Would clarify whether CMMC compliance relief becomes durable policy or reverts once the review concludes.
- Tied to: PIR 5, strategic vulnerability exposure across the defense industrial base.

**PIR 6 / I&W 5 PUCT/ERCOT rulemaking on data-center interconnection authority** [**→ Sustained**]

- Watch for a docket filing, board vote, or legislative action following ERCOT and PUCT's request for expanded authority.
- Would confirm whether Texas gains a formal mechanism to shed large interruptible loads during a cyber-triggered grid emergency.
- Tied to: PIR 6, executive decision-relevant warning.

## Section VI

## Governance Implication Block

|                             |                                                                                                                                                                                                             |
|-----------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Decision at risk</b>     | Whether your organization can prove — not assume — that no PLC, HMI, or SCADA gateway supporting water, wastewater, or dependent OT operations is directly internet-exposed.                                |
| <b>Owner</b>                | CISO or OT security lead, with authority pre-delegated by the CEO or board to isolate OT unilaterally and invoke manual operations.                                                                         |
| <b>Consequence of delay</b> | The confirmed events show pressure loss and flooding can occur before an approval chain completes. Delay converts a contained intrusion into a public-safety and public-confidence event.                   |
| <b>Action this week</b>     | Inventory every internet-facing PLC, HMI, and remote-access path into OT. Confirm manual-operation procedures and their maximum safe duration. Name the executive authorized to invoke them.                |
| <b>Record to preserve</b>   | Written OT-isolation delegation dated before any incident; PLC internet-exposure inventory completed this week; documentation of manual-continuity validation and any risk formally accepted by leadership. |

## Section VII

## Actions This Week

### CRITICAL INTELLIGENCE WARNING

**Ask:** Can we prove no PLC, HMI, or SCADA gateway we operate or depend on is directly internet-facing?

**Approve:** Immediate remediation of any confirmed internet-facing OT device — do not defer to next quarter's budget cycle.

**Document:** The executive authorized to isolate OT and invoke manual operations, and the maximum safe duration of manual continuity.

**Rehearse:** A tabletop combining OT control loss, degraded telecom, public rumor of contamination, and simultaneous demand from healthcare and emergency services.

## Section VIII

## Prior Judgment Tracker

|                       |                                                                                                                                                                   |
|-----------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Prior judgment</b> | ATB-2026-20 (18–24 Jul) assessed Iranian-affiliated PLC exploitation as an elevated but pre-effect capability, based on the 22 July update to advisory AA26-097A. |
|-----------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------|

|                            |                                                                                                                                                                                                                                     |
|----------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Current status</b>      | Upgraded. Confirmed operational effects — loss of pressure, flooding, loss of automated control — are now on the record at multiple U.S. utilities, though not in Texas and not yet formally attributed.                            |
| <b>What changed</b>        | The FBI/EPA PSA of 30 July and CISA's companion alert are the first primary-source confirmation of physical consequence tied to this threat pattern.                                                                                |
| <b>Confidence movement</b> | Confidence that this represents a capability transition, not an isolated incident, increased from Low to High. Confidence in Iranian attribution remains Moderate and unchanged — it is a leading hypothesis, not a confirmed fact. |
| <b>Next indicator</b>      | A Texas-named victim, formal government attribution, or a second confirmed multi-victim wave would raise this to a Flash Warning consideration.                                                                                     |

## Section IX — Sourcing

## Open Source Basis

### PRIMARY SOURCES — ATB-2026-21 — COVERAGE WEEK 26 JUL–1 AUG 2026

#### GOVERNMENT / REGULATORY

##### **FBI/EPA — Public Service Announcement I-073026-PSA**

[ic3.gov/PSA/2026/PSA260730.pdf](https://www.fbi.gov/psa/2026/PSA260730.pdf)

Published 30 July 2026. Primary basis for confirmed multi-state operational disruption, affected device class, and reported physical effects.

#### GOVERNMENT / REGULATORY

##### **CISA — Water and Wastewater Systems Sector OT Alert**

[cisa.gov/news-events/alerts/2026/07/30/cisa-urges-water-and-wastewater-systems-sector-protect-ot-against-activity-targeting-plcs](https://www.cisa.gov/news-events/alerts/2026/07/30/cisa-urges-water-and-wastewater-systems-sector-protect-ot-against-activity-targeting-plcs)

Published 30 July 2026. Companion alert; basis for device-class confirmation and acting director statement.

#### GOVERNMENT / REGULATORY

##### **CISA/FBI/NSA/EPA/DOE/US Cyber Command — Advisory AA26-097A (updated)**

[cisa.gov/news-events/cybersecurity-advisories/aa26-097a](https://www.cisa.gov/news-events/cybersecurity-advisories/aa26-097a)

Updated 22 July 2026. Carried-forward strategic baseline; basis for Iranian-affiliation hypothesis (KJ-2), not this week's new event.

#### GOVERNMENT / PROCUREMENT

##### **Department of War — CMMC Reform Task Force Request for Information**

[sam.gov/workspace/contract/opp/89ef9bfb0834473791e991c712698d94/view](https://sam.gov/workspace/contract/opp/89ef9bfb0834473791e991c712698d94/view)

Issued 13 July 2026; comments due 14 August 2026. Basis for DIB governance implication.

#### PRESS

##### **Associated Press — Minnesota water-system attacks**

31 July 2026. Cited for Minnesota-specific narrative detail (system count, manual fallback) only; corroborated by primary FBI/EPA/CISA sources above.

#### PRESS / GOVERNANCE

##### **Texas Tribune — ERCOT and PUCT seek data-center authority**

29 July 2026. Cited for Texas grid-governance context only; not a cyber event.

#### INDUSTRY / DISCLOSURE

### Becker's Hospital Review — Unlimited Systems ransomware notifications

31 July 2026. Cited as a vendor-concentration example only; not part of the water-sector campaign assessment.

#### TORCH FUSION CYCLE

**WHAT:** Malicious actors gained control of internet-facing PLCs at water and wastewater utilities in at least seven states between 27 and 30 July, with confirmed operational effects including pressure loss and flooding; the FBI, EPA, and CISA issued a joint public warning on 30 July. **WHO:** FBI, EPA, and CISA defined the current-week evidence base; Minnesota is the only state named publicly. Iranian-affiliated actors remain the leading hypothesis based on the 22 July advisory update, not a confirmed attribution. **WHY:** Small, under-resourced water utilities with internet-exposed legacy PLCs and weak remote-access controls offer adversaries cheap, visible disruption without requiring sophisticated tradecraft — a pattern Texas shares regardless of whether it is Iran, another state, or a criminal actor exploiting the same exposure. **WHAT NEXT:** Leadership should not wait for a Texas-named victim or a formal attribution statement before acting. The immediate task is to inventory internet-facing OT, confirm manual-continuity limits, and name who is authorized to act. *Warnings that arrive too late are not warnings. They are after-action reports.*

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